that broadening bottoms can beat the indices, and it also shows that the general market helps performance.

Days to ultimate high or low. This is a measure of how long price takes to reach the ultimate high or low (after the breakout). For upward breakouts, it'll take about 8 months of worry to reach the ultimate high. Downward breakouts take about 6 weeks to drop 15%.

If you compare the ratio of 45% in 240 days to 15% in 80 days, we discover that price drops nearly twice as fast as it rises. That might be a hint for options traders. You might be able to reach your price target faster during a downtrend than an uptrend.

How many change trend? Over half of broadening bottoms with upward breakouts see price rise more than 20% after the breakout (which is good). Downward breakouts suffer, with only 29% dropping more than 20%. The best patterns see price forming strong and lasting trends.

Table 8.3 shows failure rates. How do you measure failure? It took a while before I was able to answer that. I measured the move from the breakout price to the ultimate high or low and sorted the results into bins. Then I counted how many entries I had in each bin. It's like sorting coins you found under the seat cushions into piles of dimes, nickels, and quarters, and then counting how many dimes you found, and how many nickels, and so on.

If the breakeven cost of trading is 5%, then we see that 16% of the patterns with upward breakouts will fail to see price rise more than 5%. Downward breakouts are worse, with 26% of them failing to drop more than 5%.

Notice how the failure rates climb. Almost half (46%) of downward breakouts see price drop no more than 10%. *Ouch*.